

The Contemporary World Reviewer

I. Introduction to Globalization

- **Definition:** Globalization is the ever-increasing interconnectedness and interdependence among individuals, states, and nations. It encompasses economic integration, cultural exchange, and the shrinking of geographical distance.
- **Philosophical Perspectives:**
 - *Hyperglobalist:* Believes in a profound, irreversible transformation creating a single "borderless world" where national governments lose power to global markets and supranational organizations.
 - *Skeptic/Anti-Globalist:* Argues globalization is not unprecedented but a continuation of Western internationalization. The nation-state endures. Critics like Walden Bello view it as a neo-liberal ideology that exacerbates inequality.
 - *Transformationalist:* Believes the state is not declining but being reconfigured to adapt to global forces. Emphasizes "glocalization" (global forces interacting with local contexts).

II. The Structures of Globalization

Global Economy

- **Global Trade:** Dominated by Global Value Chains (GVCs). For example, the Philippine electronics and electrical machinery sector accounts for nearly half of total exports, integrating the country into the global tech GVC.
- **Global Finance:** The movement of money, capital, and assets across borders. The Bangko Sentral ng Pilipinas (BSP) manages this by liberalizing foreign exchange rules to mobilize resources while maintaining strong Gross International Reserves.
- **Global Labor/Migration:** The cross-border movement of people driven by wage differentials. For the Philippines, this is heavily characterized by Overseas Filipino Workers (OFWs) whose remittances bolster the national GDP.

Market Integration

- **Corporate Market Integration:**
 - *Horizontal:* Gaining control of competitors at the same production level (e.g., Ayala Corp acquiring Zalora).
 - *Vertical:* Controlling different stages of production or marketing (e.g., San Miguel Corp owning farms, feed mills, and meat shops).
 - *Conglomerate:* Combining unrelated enterprises to diversify risk (e.g., SM Investments Corp operating in retail, banking, and property).
- **Spatial Market Integration:** Examines how efficiently price signals transmit across geographic regions. In the Philippines, despite logistics challenges across the archipelago, efficient rice price transmission ensures food security by moving supply to areas with shortages.

III. The Structures of Globalization

Global Interstate System

- **Core Concepts:** The framework of cooperating and contending sovereign states, founded on the Peace of Westphalia (1648). A *state* is a political community with territory, population, government, and sovereignty. A *nation* is an "imagined community" sharing culture and history.
- **Philippine Challenges:**
 - *External Intervention:* The West Philippine Sea dispute involves asserting sovereignty under UNCLOS against China, highlighting the limits of legal sovereignty without great power support.
 - *Economic:* Adhering to the laws of neoliberal capitalism limits the state's ability to impose protectionist tariffs.

Contemporary Global Governance

- **Definition & Actors:** Managing collective global affairs in the absence of a single world government. Key actors include Intergovernmental Organizations (IGOs like the WTO), Transnational NGOs (like Amnesty International), and binding treaties (like the Paris Agreement).

- **Philippine Experience (Regional):** Uses ASEAN Centrality to coordinate policies, such as participating in the ASEAN Single Window project for digital trade facilitation.
- **Philippine Experience (Global):** The UN system supports PH development (SDGs) and disaster response (e.g., Yolanda). Conversely, global governance mechanisms like the UN Human Rights Council and ICC exert pressure on domestic issues like the "war on drugs" and 'red-tagging,' pushing the state to align with universal human rights norms.

IV. A World of Regions

Global Divides

- **The Divide (North vs. South):** Used to describe vast disparities in wealth, power, and development.
 - *Global North:* Wealthy, industrialized, technologically advanced nations that inherited colonial wealth (e.g., US, Western Europe).
 - *Global South:* Developing or newly industrialized agrarian/commodity-dependent nations with a shared history of colonialism.

Asian Regionalism

- **Definition:** The process of increasing economic, political, and socio-cultural integration among Asian nations. Unlike the EU's legally binding political design, Asian Regionalism is primarily market-driven through trade and production supply chains.
- **The "ASEAN Way":** A unique approach to cooperation characterized by non-interference in internal affairs, consensus-based decision-making (quiet diplomacy), and informality.
- **Philippine Role:** As a founding member of ASEAN (1967), the Philippines participates in economic integration (like AFTA and RCEP) and utilizes collective diplomacy via forums like the ASEAN Regional Forum (ARF) to assert national interests and manage geopolitical tensions. The Philippine Position: Universally categorized in the Global South due to economic dependency on OFWs/exports and a colonial legacy. However, it exhibits some "Northern" nuances, like a high literacy rate and a globally competitive IT-BPM sector.